

## **complaint**

Mr B has complained about the decision of Royal & Sun Alliance Insurance Plc ("RSA") to avoid his home insurance policy from inception for not informing it of previous claims.

## **background**

Mr B commenced cover with RSA in March 2010. The parties are in dispute over the manner in which the policy was arranged. RSA states that this was done on-line, whilst Mr B maintains that cover was incepted over the telephone.

Mr B made a claim for theft in December 2011, and RSA commenced its consideration of the claim. A further claim was made for fire damage in March 2012. At this time, RSA carried out a search of an external database to confirm Mr B's previous claims history. This showed that prior to commencing cover with RSA, Mr B had made four previous claims in March 2009, August 2009, October 2009 and January 2010.

RSA stated that when applying for insurance cover on-line, in response to a question regarding how many claims he had made in the previous three years, Mr B had only disclosed one claim in October 2009. Had it been aware of all four previous claims in the previous three years, RSA stated that it would not have offered cover. As a result, RSA chose to avoid cover from March 2010. It informed Mr B that he was entitled to receive a return of premiums paid, but that it also required him to reimburse it £1,486.22, representing its outlay to date in respect of the December 2011 theft claim.

Mr B was unhappy with RSA's stance, and brought a complaint to this service. He has stated that when cover commenced in 2010, he requested a quotation over the telephone, and that he had disclosed his full claims history during this call. Although RSA has provided documentation that it states relates to Mr B submitting an on-line policy application in 2010, under which only one previous claim is disclosed, Mr B disputes that he completed this application.

Our adjudicator uphold this complaint in part. She considered that RSA had provided sufficient information to evidence that the policy had been taken out on-line, rather than over the telephone. The adjudicator was satisfied that during the on-line application, Mr B had been asked a clear question regarding previous claims, and that he had inadvertently failed to give details of all of these. As RSA had provided underwriting evidence to show that it would not have offered cover to Mr B if all previous claims had been disclosed, she considered it had acted reasonably when avoiding cover from inception.

Although the adjudicator considered that RSA was not liable to settle the theft or fire claims made by Mr B because cover was no longer in force, her view was that it was not reasonable for it to pursue a recovery of its outlay of £1,486.22 under the theft claim. This was because RSA could have taken steps to check Mr B's previous claims history at an earlier date, but had chosen not to do so. RSA accepted our adjudicator's assessment, and agreed to cease its attempts to recover this money.

Mr B did not agree with our adjudicator's findings, with both Mr and Mrs B responding to it. They have reiterated their contention that the policy was taken out over the telephone rather than on-line. Mr and Mrs B consider that the proposal was completed by an RSA employee during this telephone call. They have also stated that Mr B does not complete application forms himself, which is why he would not have completed an application on-line.

Mr and Mrs B have questioned why RSA did not check previous claims history when the application was made in 2010. They also consider it relevant that RSA offered renewal cover in March 2012 without imposing additional terms after it had commenced dealing with their theft claim from December 2011. Mr and Mrs B have provided further details of their previous claims to demonstrate that these are well remembered by them, indicating that they would therefore have disclosed them. Whilst the adjudicator noted that the IP address RSA states was used to complete the on-line application was traced to a town near where Mr and Mrs B live, Mr and Mrs B have highlighted that RSA also has a large office in the same area, casting doubt on RSA's stance that Mr and Mrs B completed an on-line application.

Whilst this complaint has been investigated by this service, RSA has returned the premiums paid by Mr and Mrs B to them.

### **my findings**

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

The first issue I must consider when assessing this complaint is whether the application for insurance cover by Mr B was made via an on-line application or over the telephone. Mr B has stated that the application was made over the telephone, and that it was during this call that he disclosed all previous claims.

RSA was able to trace four calls from one of Mr B's landline numbers. All of these took place after cover had commenced with RSA, and none included the disclosure of previous claims. Mr B has stated that the call in which he disclosed previous claims could have been made from a different number. However, he has been unable to provide any telephone records to evidence that such a call took place.

Evidence has been forwarded that shows an on-line application was made for insurance cover in Mr B's name in 2010. RSA attempted to trace the source of the IP address from which the application was made. Mr B has commented that the region that the IP address was sourced to includes one of RSA's offices. Although I acknowledge that this is the case, it seems to me that Mr B is also based near to this region. On balance, my view is that the traced IP address does further suggest that an on-line application was made by Mr B.

I cannot be certain whether the application for insurance in 2010 was made on-line or via the telephone. However, based on the evidence provided, on the balance of probabilities I consider it more likely than not that the application was made on-line.

The on-line application asked for details of claims made in the previous three years. My view is that the question asked was clear. When the policy was applied for in March 2010, the only claim recorded as having been disclosed was one from October 2009. RSA has forwarded renewal documentation in respect of cover commencing in March 2011 and March 2012. The '*Home Quote Statement*' in each case lists claims made in the previous three years, and the October 2009 claim is the only one listed.

The four previous claims that RSA found recorded for Mr B on an external database were all made within three years of the application for cover in 2010, and the renewals of cover in 2011 and 2012. Based on my findings that Mr B did make his application for the policy on-line, and only disclosed one previous claim, my view is that the failure to disclose the other three claims represented an oversight on his part. I would describe such a failure to be an inadvertent non-disclosure of material facts.

Where a consumer has been asked a clear question about material facts, as I consider to be the case here, and has inadvertently non-disclosed them, this service will generally expect an insurer to apply a proportionate response. This means that an insurer should consider what it would have done at policy inception and renewal if the material facts had been disclosed.

RSA has provided underwriting evidence to show that if the previous claims had been disclosed when the policy was applied for or at renewal, it would not have offered cover to Mr B. As a consequence, it has chosen to avoid policy cover from March 2010. Based on the evidence provided, my view is that RSA's decision was not an unreasonable one.

Mr B has questioned why RSA did not check records regarding his previous claims before he submitted his fire damage claim in March 2012. When a consumer applies for insurance cover, I consider it reasonable for an insurer to accept that the information it has been supplied with is accurate. Consequently, my view is that there was no obligation upon RSA to check Mr B's previous claims record at an earlier date.

RSA incurred costs dealing with the theft claim made in December 2011, and I understand it partially settled this claim before its investigation of previous claims led it to avoid cover. I would agree with the adjudicator that as RSA chose not to search for Mr B's previous claims at an earlier date, it would not be reasonable for RSA to now pursue Mr B for the reimbursement of its outlay under the theft claim. RSA has accepted that it will not now pursue this sum from Mr B.

Mr B has questioned why RSA offered cover to him at renewal in March 2012 after he had made the theft claim, or did not alter the terms available to him. My view is that RSA's decision to offer cover to Mr B in March 2012 is not central to the determination of this complaint. It would appear that the theft claim did not affect RSA's willingness to offer cover, and I cannot see how RSA's decision to renew cover was in any way prejudicial to Mr B, bearing in mind my view that RSA was not obliged to check records of previous claims at this time. Once RSA checked Mr B's previous claims history, it concluded that it would never have offered cover to him if these claims had been disclosed. In my view, there is insufficient evidence to suggest that RSA acted inappropriately when it offered the renewal terms in March 2012 to Mr B that it did.

I appreciate that Mr B will be disappointed with my findings. However, my conclusions on balance are that the application for insurance was made on-line in March 2010, and that Mr B inadvertently failed to disclose all previous claims to RSA at this time, and at the subsequent policy renewals. Based on the evidence submitted, I consider that RSA's decision to avoid cover was not an unreasonable one.

### **my final decision**

My final decision is that I uphold this complaint in part, and require Royal & Sun Alliance Insurance Plc not to pursue Mr B for reimbursement of its outlay of £1,486.22 in respect of the theft claim made in December 2011.

I make no other award.

John Swain  
**ombudsman**